NOW BUILD BRAND INDIA GLOBALLY

India's single-minded focus on export growth fetched record dividends. It now needs to capitalise on the shift away from China and develop as a reliable alternative to the global value chain

By Raj Chengappa

ECONOMISTS TALK OF THE NEED for the four engines of the economy—private investment, public expenditure, consumption and exports—to be firing at full throttle to trigger rapid economic growth. The Covid pandemic saw a major slowdown in three of India's four growth engines—consumption, private investment and exports. Only one engine—the massive doses of public expenditure injected by the Modi government—pulled the Indian economy back from the brink. In FY22, something phenomenal happened in Indian exports, which contribute 15-20 per cent of the demand in the Indian economy. The country's merchandise exports, which were stuck at an average of $300 billion for over a decade and had declined during the peak of the Covid wave to $291 billion, started surging rapidly. By March 2022, exports had registered a 43 per cent growth, with total merchandise exports crossing $400 billion for the first time ever. Even service sector exports boomed, with India touching $250 billion this year up from an average of $200 billion despite the tourism sector being in the doldrums. Commerce and industry minister Piyush Goyal attributed this big leap to "the whole of government and the whole of nation approach, with the Centre, state, local bodies, public sector undertakings and autonomous bodies working together to achieve this feat. It is a message to the rest of the world that the New India offers quality, reliability and scale."

The remarkable turnaround was no accident but the result of a constellation of enabling factors. Among them was the Modi government's decision to post the



Piyush Goyal
Minister of Commerce